



Report

MARCH 2026

CRYPTO EXCHANGE
OUTLOOK

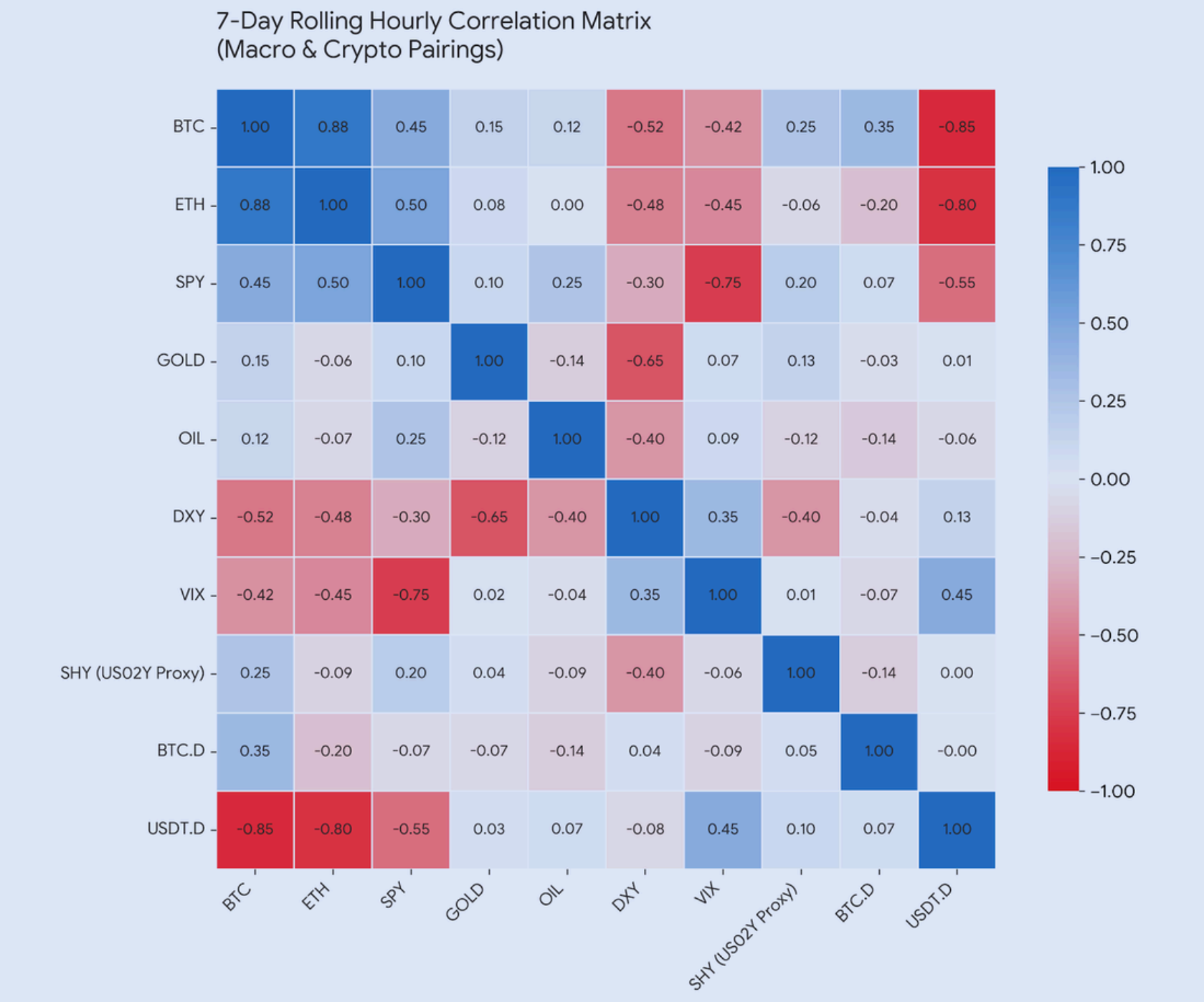
PREPARED BY
THARIQ RAHMAN F

Weekly Market Research

Summary

- *Market Price Action: Bitcoin (BTC) exhibited a structural downward trend, declining from the \$73K level toward the \$70K range throughout the reporting week.*
- *Liquidity Contraction: A sharp contraction in Fed Net Liquidity occurred on March 18, 2026, with the net balance dropping by approximately \$6 billion.*
- *Sector Outperformance: The Utilities & Services (8.67%) and AI (6.49%) sectors led market gains, while the Bitcoin Ecosystem (-4.47%) and DeFi (-4.14%) sectors experienced the heaviest selling pressure.*
- *Correlation Metrics: BTC and ETH maintained a very strong positive correlation of 0.88, while USDT.D (Tether Dominance) showed a significant negative correlation of -0.85 against BTC.*
- *Macro Event Impacts: Higher-than-expected PPI data (3.4% YoY) and the FOMC decision to maintain interest rates at 3.50%–3.75% drove bearish sentiment across the digital asset market.*
- *Institutional Activity: MicroStrategy reached a milestone by amassing a record stash of Bitcoin valued at \$54 billion*
- *Liquidity Stress Indicators: The SOFR - IORB Spread spiked to 5 basis points in mid-March, signaling a period of short-term liquidity stress in the overnight funding markets.*

Market Overview



Source: Yahoo Finance, Team Research

This correlation matrix provides a quantitative snapshot of the interdependencies between Macro and Crypto pairings over a rolling one-week window. As a research tool, it measures the strength and direction of the linear relationship between two variables, ranging from +1.00 (perfect positive correlation) to -1.00 (perfect negative correlation).

Key Insights:

Crypto Internal Correlation: BTC and ETH maintain a very strong positive correlation of 0.88, indicating they are moving largely in lockstep within this timeframe.

The Risk-Off Indicator: USDT.D (Tether Dominance) shows a significant negative correlation with BTC (-0.85) and ETH (-0.80). This confirms that as investors seek safety in stablecoins, capital flows out of "risk-on" assets like Bitcoin and Ethereum.

Macro Sensitivity: BTC shows a moderate positive correlation with the SPY (S&P 500) at 0.45, suggesting that crypto is still partially behaving as a high-beta play on the broader US equity market.

Dollar Inverse Relationship: The DXY (US Dollar Index) is negatively correlated with BTC (-0.52) and ETH (-0.48). Historically, a strengthening dollar exerts downward pressure on dollar-denominated assets.

Volatility Inverse Correlation: The VIX (Equity Fear Index) displays a negative correlation with both SPY (-0.75) and BTC (-0.42), reinforcing that when market fear increases, these assets typically face selling pressure

Crypto Data

This visualization tracks the relationship between BTC Netflow (capital moving in and out of exchanges) and the BTC Price over a 7-day period.



Source: Bitbo, Team Research

Bearish Price Action: The BTC price (gold line) shows a persistent downward trend, opening the week near \$86K on March 15 and experiencing a sustained decline to approximately \$83K by March 21.

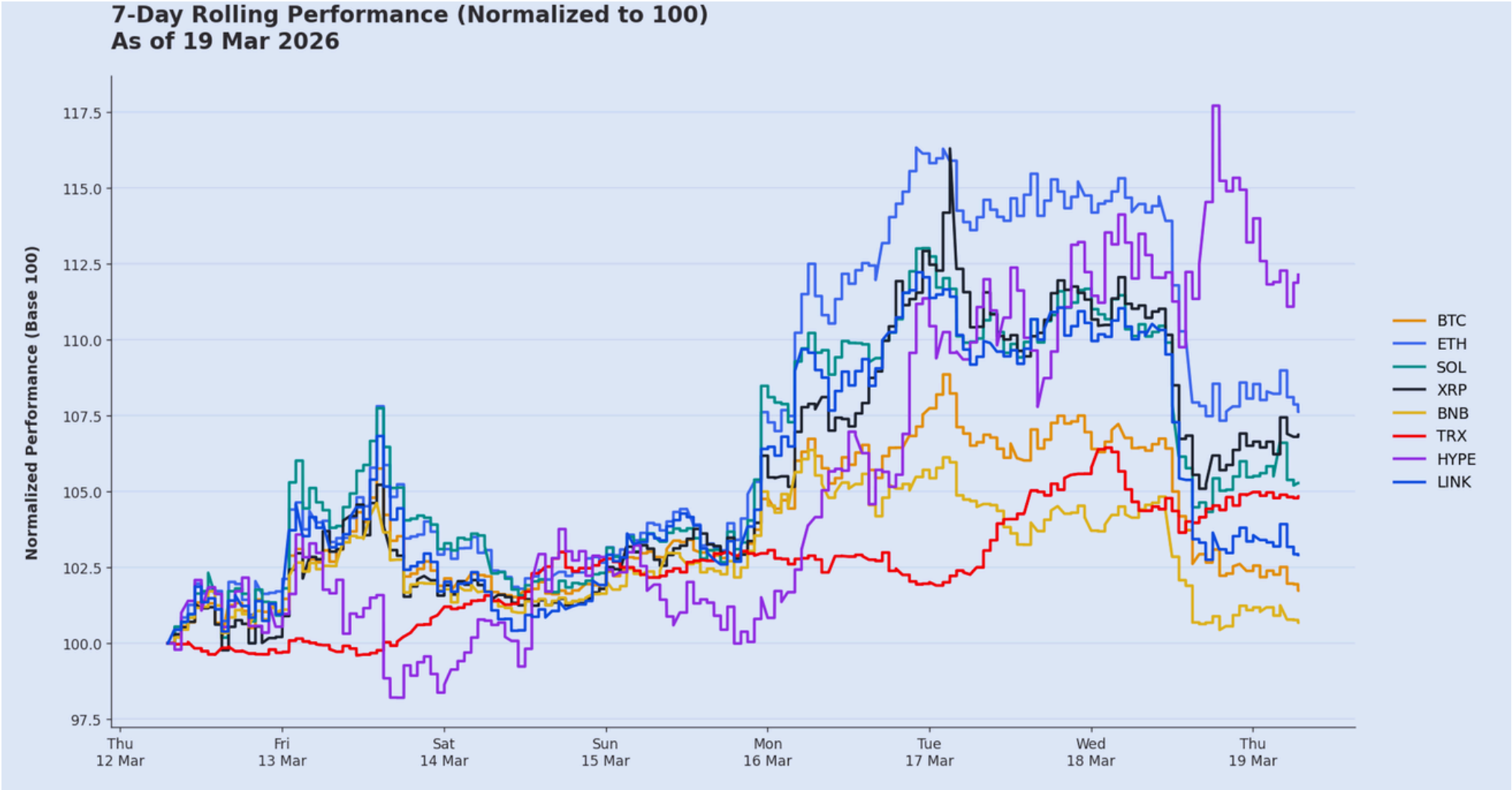
Distribution Phase: Significant outflows (red bars) were observed early in the week, particularly on March 15 and March 16, with some spikes approaching -\$400M. This suggests a period of intense selling or capital migration.

The March 21 Anomaly: There is a massive, localized inflow spike (green bar) on March 21, reaching nearly \$800M.

Absorption Dynamics: Despite this massive \$800M inflow, the price did not rebound immediately and continued to trend lower toward \$82K. This indicates that either the inflow was absorbed by aggressive selling or that it represents whales moving assets to exchanges in anticipation of further volatility

Digital Asset

This visualization tracks the 7-Day Rolling Performance of eight selected digital assets, normalized to a base of 100 on March 12, 2026, to allow for a direct comparison of their percentage returns.

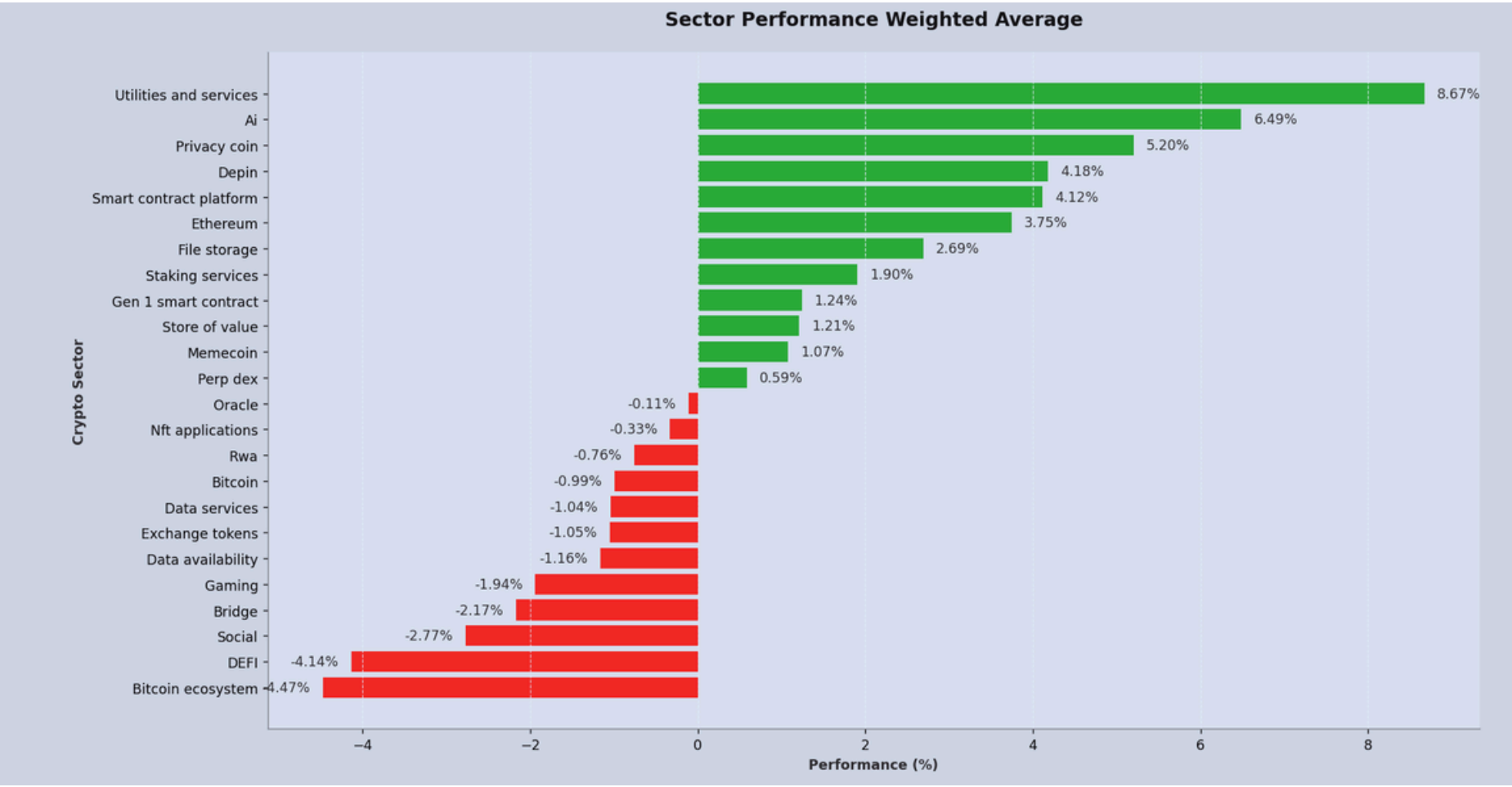


Source: Coingecko, Team Research

- Alpha Outperformance (HYPE): HYPE (purple) exhibited the most explosive growth, surging toward a peak of approximately 117.5 late in the week (March 18–19) before experiencing a sharp retrace.
- Strong Relative Strength (ETH & SOL): ETH (light blue) and SOL (teal) showed robust mid-week momentum, with ETH peaking near 116 around March 17, significantly outperforming the broader market during that interval.
- Laggard Performance (BNB & BTC): BTC (orange) and BNB (yellow) remained relatively subdued, fluctuating within a tighter range and ending the 7-day period near the 101–102 level, reflecting more conservative price action compared to the altcoin surge.
- Decoupled Momentum: The sharp divergence starting around March 16 indicates a rotation of capital into specific ecosystems (like SOL and HYPE) while major assets like BTC consolidated or faced selling pressure.

Digital Asset

This visualization illustrates the Sector Performance Weighted Average, which measures the aggregate percentage return of assets within specific crypto categories, weighted by their respective market influence.



Source: Artemis, Team Research

Dominant Outperformance (Infrastructure & Intelligence): The Utilities and services sector leads the market with an 8.67% gain, followed closely by AI at 6.49%. This indicates a strong capital rotation into functional infrastructure and artificial intelligence applications within the Web3 space.

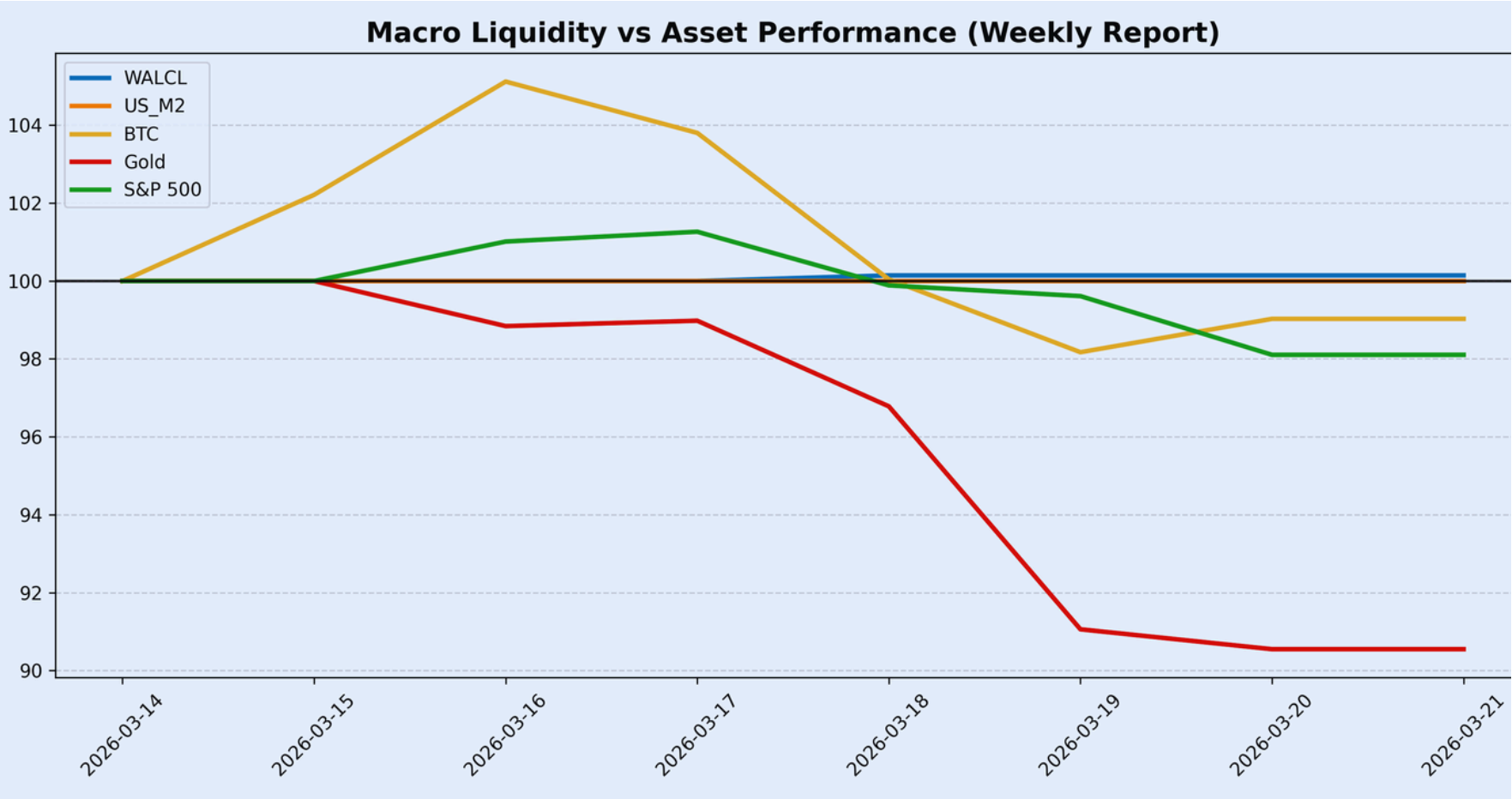
Privacy & Scalability: Privacy coins (5.20%) and DePIN (4.18%) are also showing significant relative strength, suggesting a market preference for decentralized physical infrastructure and anonymity-focused assets.

Underperformance & Ecosystem Drag: The Bitcoin ecosystem (-4.47%) and DEFI (-4.14%) are the primary laggards. The negative performance in the Bitcoin ecosystem, despite BTC itself being relatively stable, suggests that secondary layer protocols or ecosystem-specific tokens are facing a sell-off.

Social & Gaming Weakness: Once-hyped sectors like Social (-2.77%) and Gaming (-1.94%) continue to struggle, likely due to a lack of immediate catalysts or user retention during this market phase

Macro

This visualization tracks Macro Liquidity against Asset Performance, normalized to a base of 100 starting March 14, 2026.

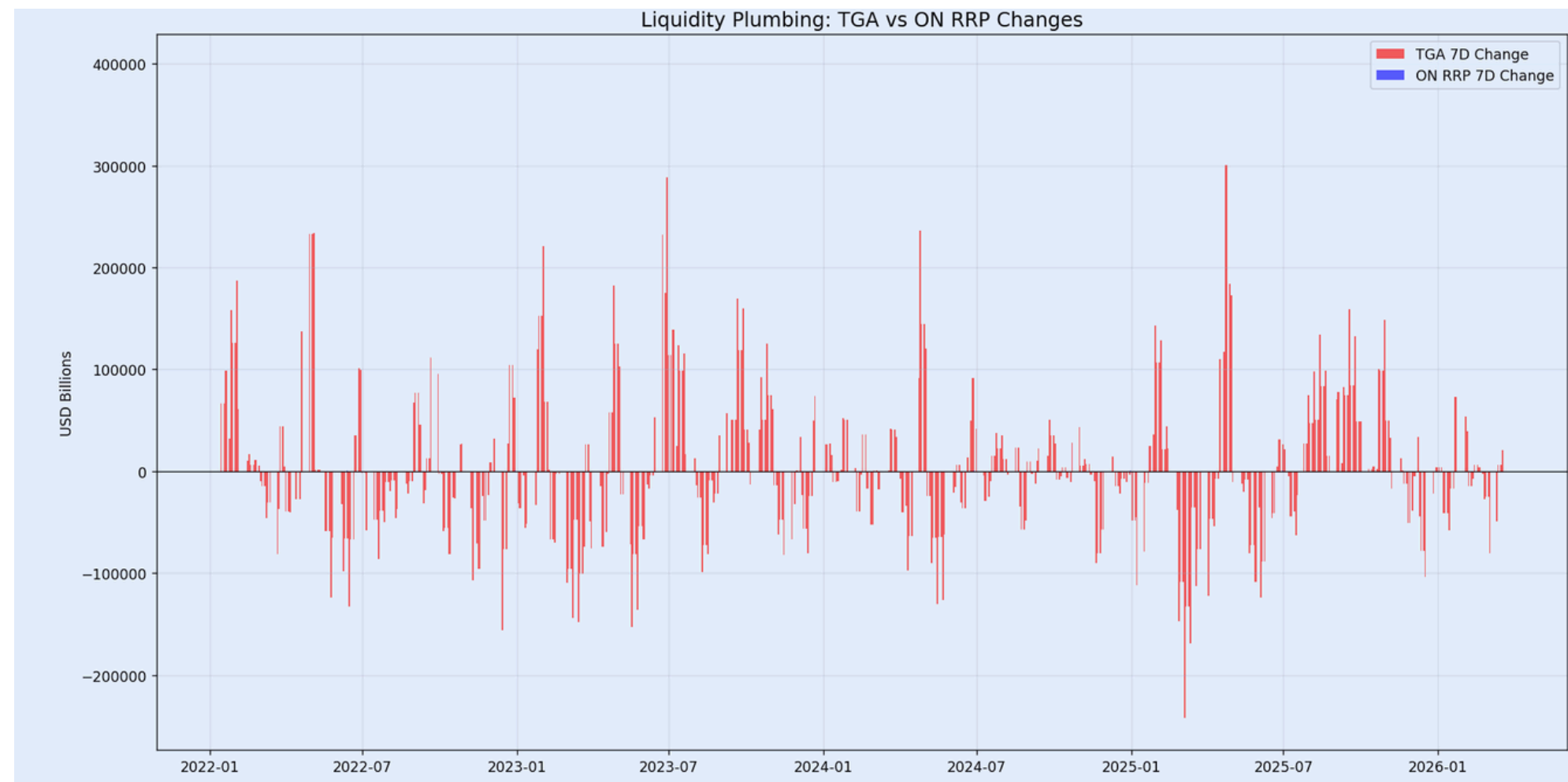


Source: Fred, Coinmarketcap, Team Research

- T
- Stagnant Liquidity (WALCL & US_M2): Both the Federal Reserve's balance sheet (WALCL) and the US M2 money supply remained exceptionally flat throughout the week, holding steady at the 100 base level. This suggests that there was no significant injection of new liquidity into the system to support rising asset prices.
 - Extreme Gold Devaluation: Gold (red line) experienced the most severe decline, crashing from its 100 base to approximately 90.5 by March 21. This sharp drop indicates a massive sell-off in safe-haven assets, likely due to a sudden shift in interest rate expectations or a "dash for cash" liquidity event.
 - BTC Volatility & Correction: Bitcoin (orange line) initially surged to a peak of over 105 around March 16 before facing a sharp correction. It ended the week down at approximately 99, mirroring the bearish price action seen in your earlier Netflow analysis
 - Equity Market Pressure: The S&P 500 (green line) showed relative resilience early in the week but eventually succumbed to market pressure, dropping to roughly 98 by March 21
 - Key Insight: The divergence between flat liquidity and falling asset prices around March 18-19 aligns perfectly with your FOMC Rate Decision heatmap, where the "Unchanged" rate was interpreted as Bearish by the market.

Macro

This visualization tracks the 7-day changes in the Treasury General Account (TGA) and the Overnight Reverse Repo (ON RRP) facility, measured in \$USD~Billions\$.

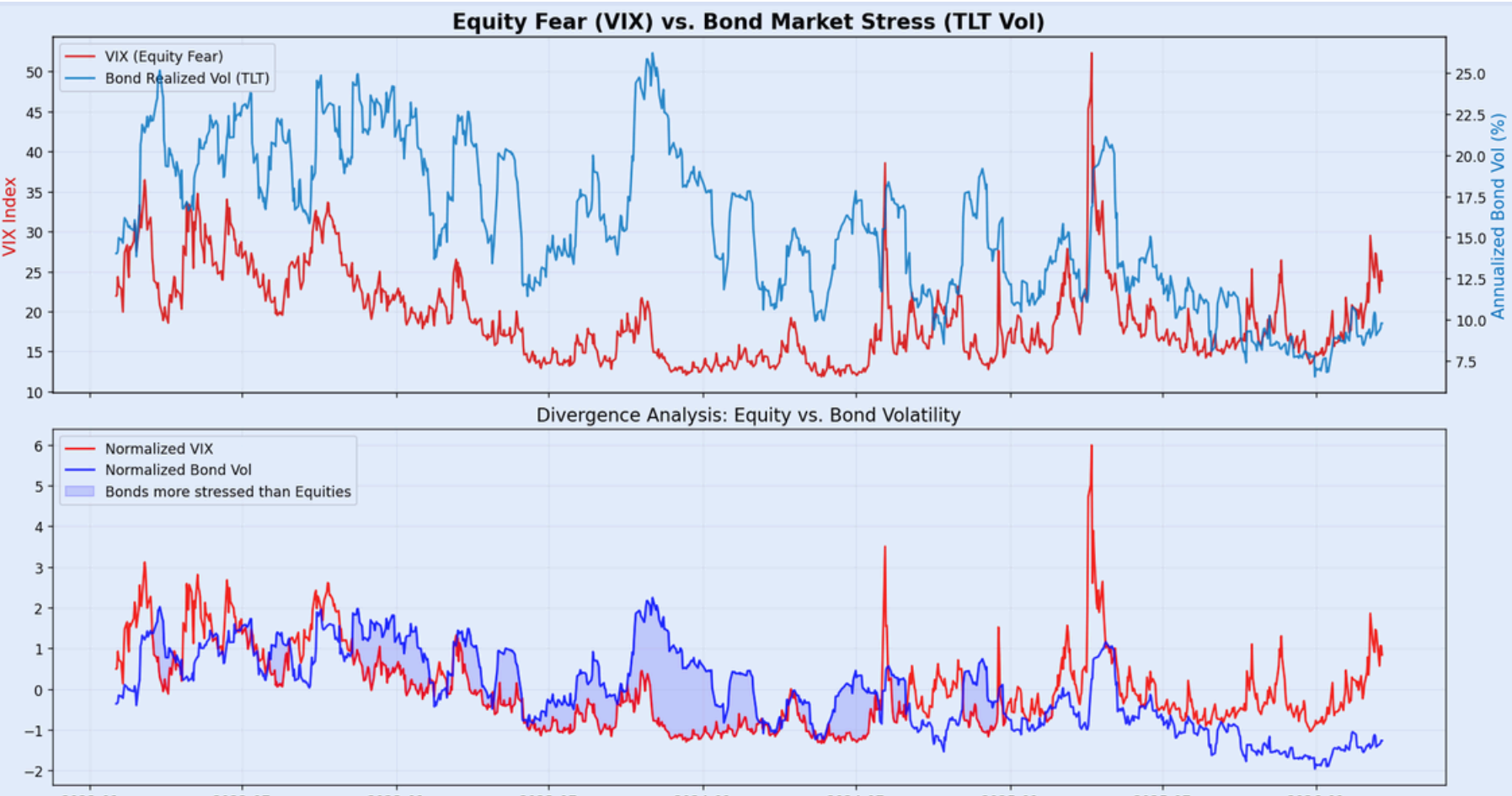


Source: Fred, Team Research

- *TGA Volatility (Liquidity Drain vs. Injection): The TGA (red bars) shows extreme volatility, with frequent swings between \$+300\$ billion and \$-240\$ billion. An increase in the TGA (positive red bars) indicates that the Treasury is pulling cash from the private sector into its account at the Fed, acting as a liquidity drain.*
- *Early 2026 Trend: In the first quarter of 2026, we see a cluster of positive TGA spikes. This suggests the Treasury was rebuilding its cash balance, which reduced the amount of bank reserves available in the system, creating a "tightening" effect even without formal Fed rate hikes.*
- *ON RRP Displacement: The ON RRP 7D Change (blue bars) appears significantly more muted in recent periods compared to the massive shifts seen in 2023. This implies that the TGA has become the primary driver of short-term liquidity fluctuations in the current market regime.*
- *Impact on Risk Assets: The liquidity drain observed in early 2026 correlates with the price pressure seen in BTC and the S&P 500 in your previous performance charts, as less "plumbing" liquidity typically leads to lower valuations for high-beta assets*

Macro

This two-paneled chart illustrates the relationship between the VIX Index (Equity Fear) and Bond Realized Volatility (TLT Vol) from early 2022 through March 2026.

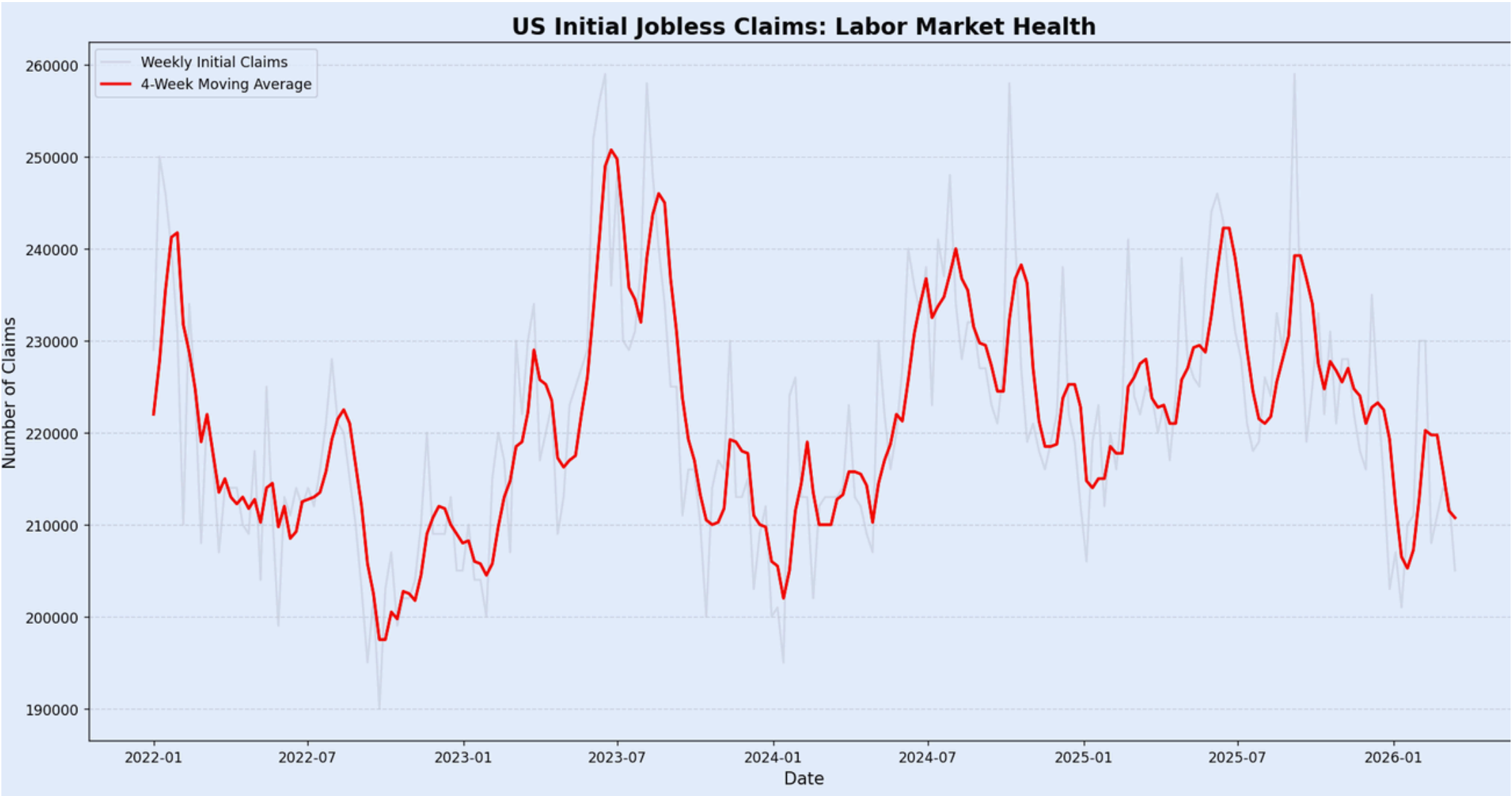


Source: Fred, Team Research

- Volatility Regime Comparison: The top chart shows that while bond volatility (blue line) remained structurally elevated throughout 2022 and 2023, it has seen significant compression in the first quarter of 2026.*
- Divergence Dynamics: The bottom chart, Divergence Analysis, normalizes both data sets to identify which market is under greater relative stress.*
- Bond Stress Dominance: The shaded blue areas indicate periods where Bonds were more stressed than Equities. This was particularly prominent throughout 2023 and early 2024, likely driven by aggressive interest rate hikes and inflation uncertainty.*
- Current Status (March 2026): As of the latest data point, the VIX (red line) is experiencing a sharp upward spike toward the 30 level, while normalized bond volatility remains near its multi-year lows. This suggests that current market fear is concentrated in equities rather than a systemic credit or interest rate panic*

Macro

This visualization tracks US Initial Jobless Claims, monitoring the number of individuals filing for unemployment benefits for the first time as a gauge of labor market health.

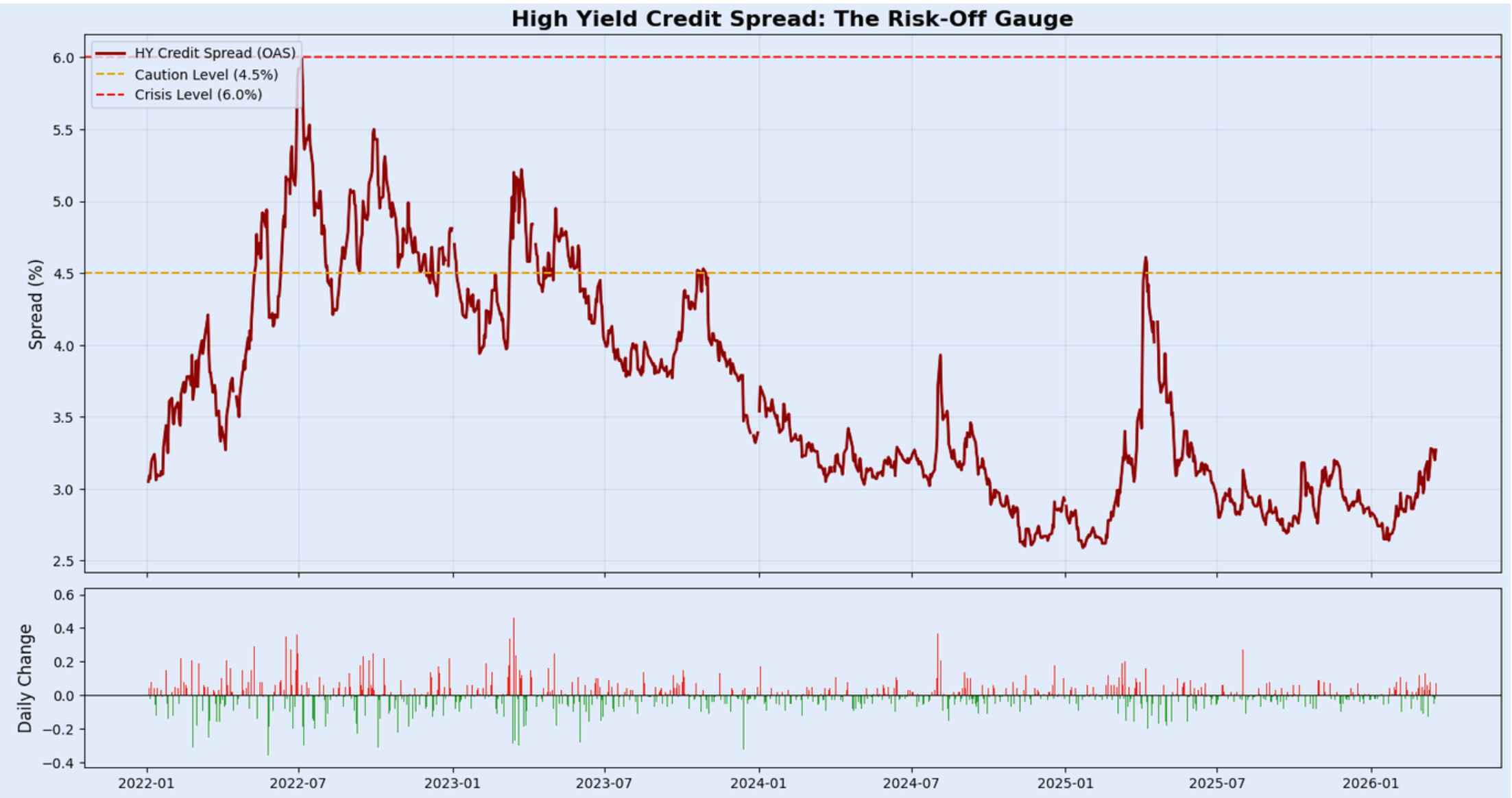


Source: Fred, Team Research

- Smoothed Trend Analysis: The chart utilizes a 4-Week Moving Average (red line) to filter out idiosyncratic weekly noise, providing a more reliable view of the underlying employment trend.*
- Labor Market Tightness: In early 2026, claims trended toward a multi-year low, hitting 205,000 as of the March 19 update.*
- The Macro Paradox: While low claims typically indicate economic strength, they are labeled as Bearish for the crypto market in your heatmap. This suggests that a "too strong" labor market provides the Federal Reserve with the mandate to maintain restrictive monetary policy ("higher for longer") to combat inflation without immediate fear of a recession.*
- Historical Volatility: The current tightening follows significant periods of labor market stress in mid-2023 (~250k claims) and mid-2025 (~240k claims), showing a notable recovery in employment stability heading into 2026.*

Macro

This chart monitors the High Yield Credit Spread (OAS), which measures the additional yield investors demand to hold "junk" bonds over risk-free Treasuries.

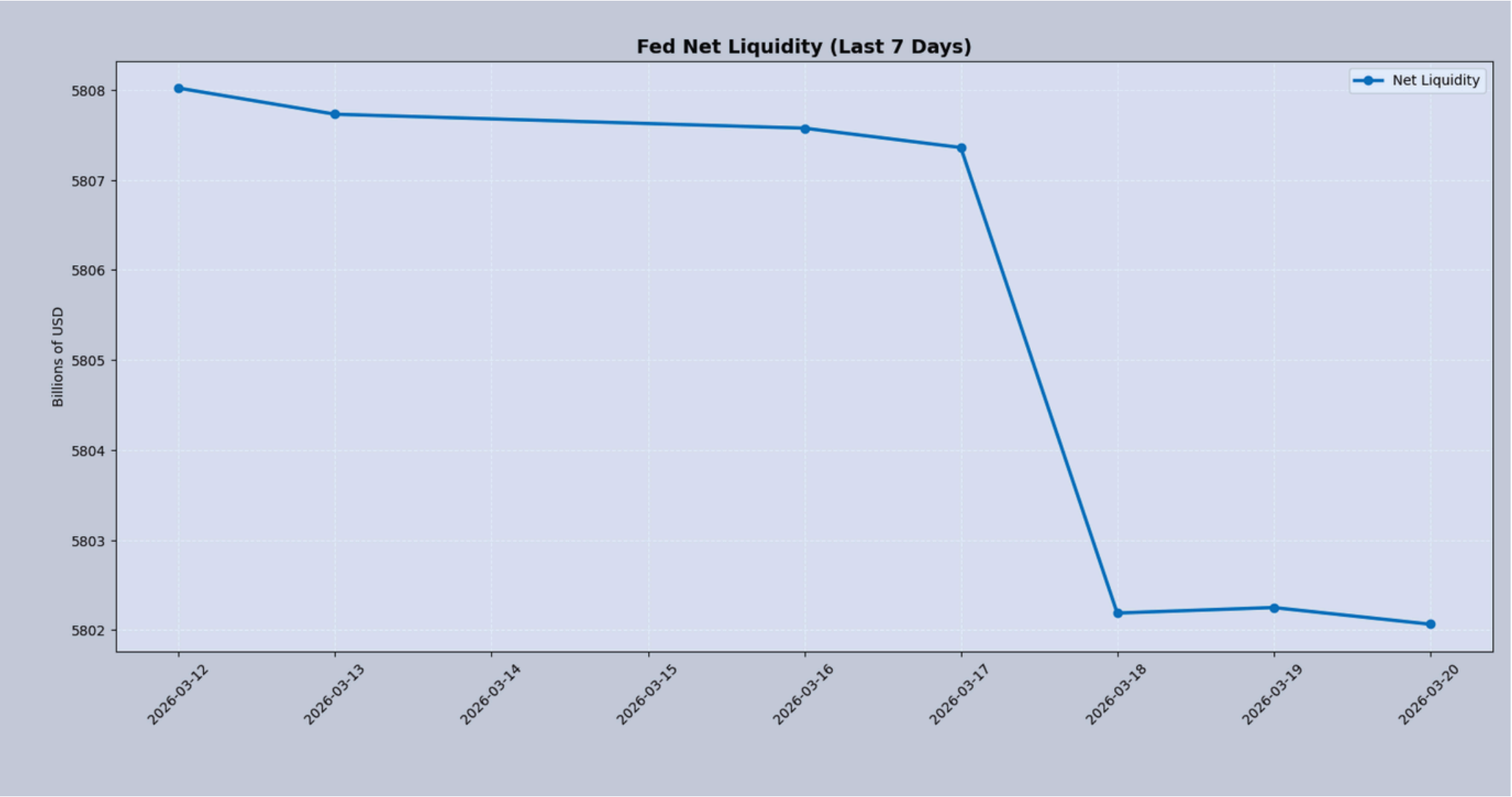


Source: Fred, Team Research

- Risk Threshold Monitoring: The chart establishes two critical psychological and financial boundaries: a Caution Level at 4.5% and a Crisis Level at 6.0%.*
- Current Market Regime (March 2026): As of early 2026, the spread is trading in the 3.2% to 3.3% range. While this is significantly lower than the stress levels seen in 2022 and early 2023, there is a visible upward trajectory starting in January 2026.*
- Sentiment Insight: Spikes in these spreads generally coincide with "Risk-Off" periods. The current low level suggests that despite the recent equity volatility you've noted, credit markets are not yet pricing in a high probability of corporate defaults or a severe recession.*
- Volatility Analysis: The Daily Change panel (bottom) highlights that while the overall spread is rising, the day-to-day volatility remains relatively contained compared to the aggressive spikes seen in mid-2022 or early 2025*

Macro

This visualization tracks Fed Net Liquidity over a 7-day window, measured in billions of USD.

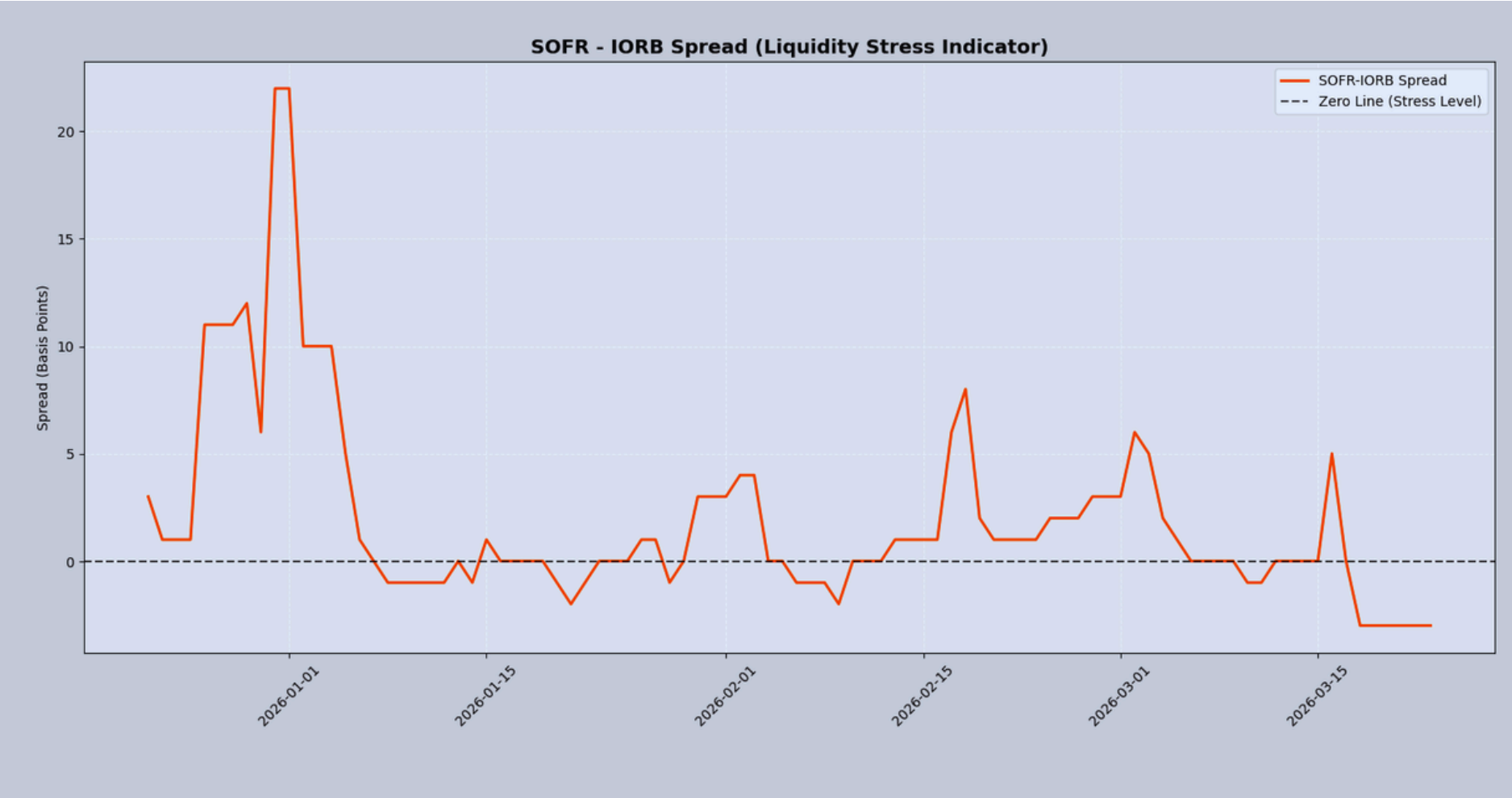


Source: Fred, Team Research

- Liquidity Stability (March 12–17): Net liquidity remained relatively stable at the start of the period, hovering near the \$5,808 Billion level through March 17.*
- The March 18 Contraction: A sharp and sudden liquidity drain occurred on March 18, 2026, with the net balance falling precipitously to approximately \$5,802 Billion.*
- Event Correlation: This roughly \$6 Billion reduction in system liquidity coincides exactly with the FOMC Rate Decision listed in your macro heatmap for March 18.*
- Market Impact: This rapid withdrawal of liquidity serves as a quantitative explanation for the bearish price action and capital outflows (negative Netflow) observed in Bitcoin and other risk assets during the same timeframe.*

Macro

This visualization monitors the relative cost of funding in the private market versus the central bank rate.

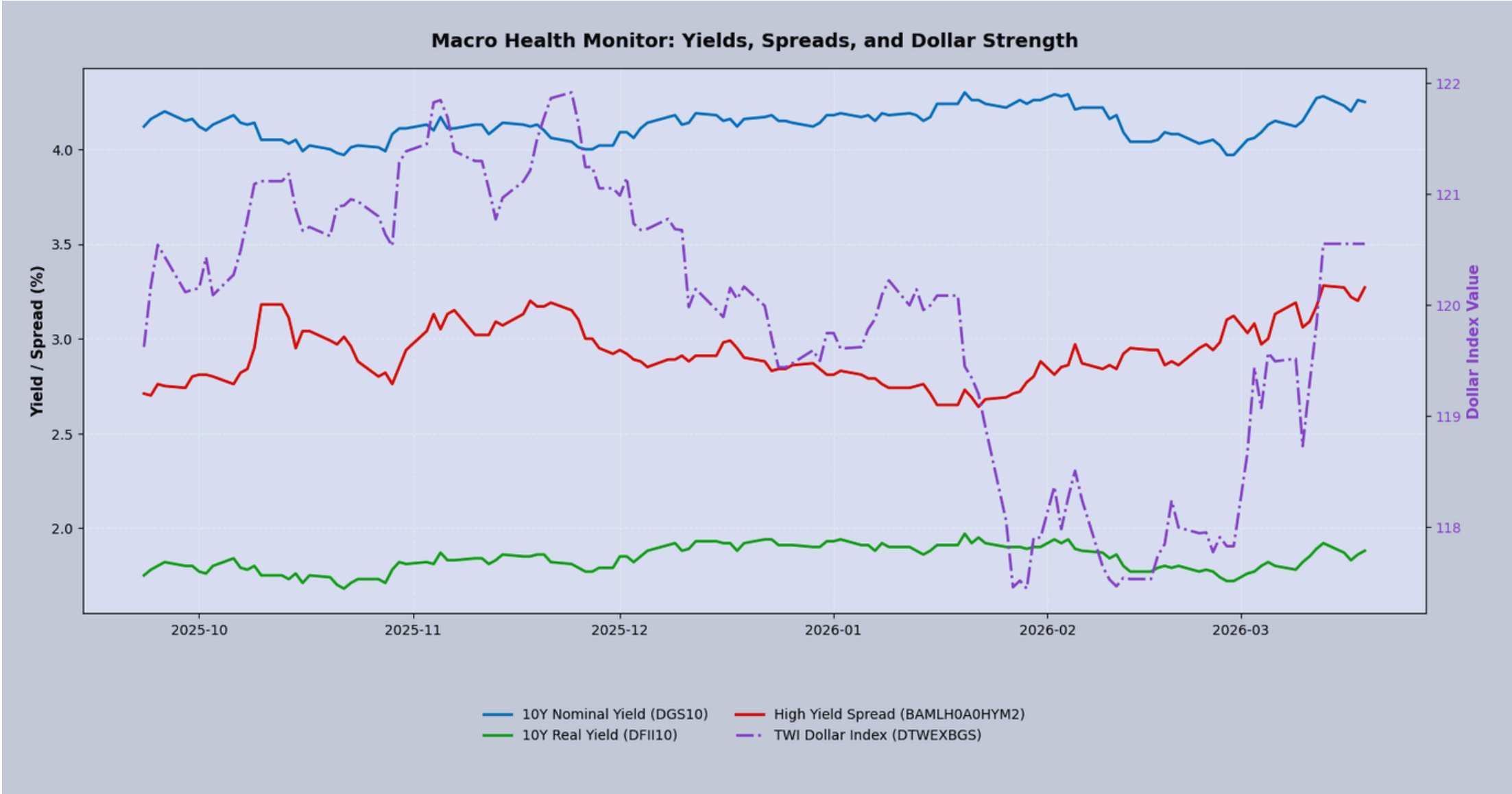


Source: Fred, Team Research

- Liquidity Stress Benchmark: The Zero Line represents a critical threshold. When the orange line spikes above this level, it indicates that private funding markets are under stress, with liquidity becoming scarcer and more expensive.*
- Major 2026 Liquidity Event: The data reveals a significant liquidity crunch at the beginning of January 2026, with the spread surging above 20 basis points. This suggests a major dislocation in the overnight funding markets during that period.*
- March Volatility: Around March 15, the spread experienced another notable spike to 5 basis points. This coincides with the general tightening observed in your other macro indicators for mid-March.*
- Current Positioning: Following the mid-March spike, the spread has fallen back below the zero line as of the latest data point, indicating that the immediate funding stress has abated and liquidity has temporarily stabilized.*

Macro

The Macro Health Monitor tracks the interplay between sovereign yields, corporate credit risk, and currency strength from late 2025 through March 2026.



Source: Fred, Team Research

- Dollar Resurgence (TWI Dollar Index): The Trade-Weighted Dollar Index (purple dashed line) shows the most significant volatility. After a precipitous decline in February 2026 toward the 117.5 level, it has staged a powerful rebound in March, currently trading above 120.5. This strengthening dollar typically acts as a headwind for dollar-denominated assets like Bitcoin.*
- Yield Trajectory (Nominal vs. Real): The 10Y Nominal Yield (blue line) remains elevated between 4.0% and 4.3%, showing renewed upward pressure in March. Meanwhile, the 10Y Real Yield (green line) has remained relatively anchored between 1.75% and 2.0%.*
- Implied Inflation: The gap between these two lines, known as the Breakeven Inflation Rate, suggests market expectations for long-term inflation remain in the 2.2% to 2.4% range.*
- $$\text{Breakeven Inflation} = \text{Nominal Yield} - \text{Real Yield}$$
- Credit Conditions: The High Yield Spread (red line) has begun to trend higher alongside nominal yields in March, surpassing the 3.0% mark. This indicates a tightening of financial conditions and a slight increase in the risk premium required by investors*

Macro

March 2026 Macro Event Heatmap: Liquidity & Crypto Impact

Macro Event	Date	Actual Result	Forecast	Crypto Impact
NFP (Non-Farm Payrolls)	Mar 6, 2026	-92K	Positive	Bullish
CPI (Consumer Price Index)	Mar 11, 2026	2.4% YoY	2.4% YoY	Neutral
PPI (Producer Price Index)	Mar 18, 2026	3.4% YoY	2.9% YoY	Bearish
FOMC Rate Decision	Mar 18, 2026	3.50% - 3.75%	Unchanged	Bearish
Jobless Claims	Mar 19, 2026	205K	215K	Bearish

Source: TradingEconomics, Team Research

.Labor Market Cooling (NFP): The Non-Farm Payrolls on March 6th significantly missed forecasts, coming in at -92K against a "Positive" expectation. This was interpreted as Bullish for crypto because a weakening labor market typically pressures the Federal Reserve to pivot toward a more dovish or supportive monetary policy.

Inflation Equilibrium (CPI): The Consumer Price Index on March 11th landed exactly at the forecast of 2.4% YoY. Because the data contained no surprises, the market impact remained Neutral.

Sticky Producer Inflation (PPI): The Producer Price Index on March 18th came in hotter than expected at 3.4% YoY versus a 2.9% forecast. This surge in producer-level inflation is Bearish, as it suggests future consumer inflation may remain elevated.

Hawkish Policy Stance (FOMC): On March 18th, the Federal Open Market Committee (FOMC) kept interest rates unchanged at 3.50% - 3.75%. This was viewed as Bearish, likely due to the accompanying rhetoric indicating that restrictive rates will persist for longer than the market had hoped.

Resilient Employment (Jobless Claims): Jobless Claims on March 19th were lower than expected (205K vs 215K forecast). Paradoxically, a strong labor market is Bearish in the current regime because it provides the Fed with the economic "cushion" to maintain high interest rates without risking an immediate recession.

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By [Jose Antonio Lanz](#)

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Policy

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Mar 21, 2026 7:00 PM

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By: [yyctrader](#) • 33 hours ago

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FAQ

Q: What is the primary factor driving the recent divergence between digital assets and traditional equities? A: The primary driver is the shift in internal liquidity plumbing, specifically the contraction in Fed Net Liquidity observed on March 18. While the S&P 500 showed early resilience, digital assets reacted more sensitively to the ~\$6 billion liquidity drain and the strengthening DXY, which rebounded above 120.5. This suggests a "risk-off" transition where capital moves toward the dollar as a defensive measure.

Q: Why are AI and Utility sectors outperforming while the Bitcoin ecosystem remains under pressure? A: There is a clear rotation toward narrative-driven growth and infrastructure. The 6.49% gain in the AI sector reflects sustained demand for technology-linked assets despite macro headwinds. Conversely, the -4.47% drag in the Bitcoin ecosystem indicates a lack of immediate catalysts or "ecosystem fatigue," as capital prioritizes sectors with higher immediate utility or technological momentum.

Q: Does the minor uptick in High Yield Credit Spreads signal a broader systemic crisis? A: Not at this stage. Although spreads have moved up toward 3.3%, they remain significantly below the 4.5% "Caution Level" and the 6.0% "Crisis Level". The current movement is a normalization of risk premiums after a period of extreme tightness, suggesting that while market participants are becoming more vigilant, credit markets do not yet price in a high probability of structural default.

Q: How should we interpret the \$800M BTC inflow on March 21 given the continued price decline toward \$82K? A: This anomaly suggests a complex market dynamic. Historically, large inflows to exchanges are associated with selling pressure; however, given the price was already at its weekly low, this could also represent "whale absorption" or a preparation for significant volatility. We must monitor if this inflow leads to a stabilization or if it serves as a precursor to further distribution by large holders.

Reference

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About the Author



Thariq Rahman Fadillah is a Quantitative Analyst and Research Engineer specializing in the cryptocurrency market and Artificial Intelligence infrastructure. With a foundational background in Accounting, he integrates rigorous financial principles with data-driven quantitative analysis to dissect macroeconomic shifts



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